



For instance, Fixed Price Engagement for Enterprise Resource Planning (ERP) Implementation

A global manufacturing company sought to implement a new ERP system to streamline operations and improve operational efficiency. The company engaged a consulting firm with expertise in ERP implementations under a fixed-price model.

Initial Scoping and Contract

The consulting firm thoroughly assessed the client's requirements, existing processes, and infrastructure.

CONSULTING FIRM

Infrastructure

Client Requirement

Existing Process

A detailed scope of work was defined, including system configuration, data migration, user training, and go-live support.

SCOPE OF WORK

System Configuration

Data Migration

Training

Go-Live Support

A fixed price was agreed upon, and the contract outlined specific milestones and payment schedules.

Fixed Price Agreed upon Contract

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Specific milestones and payment schedules.

Challenges and Scope Changes

During the implementation phase, the client requested additional customisations and integrations with third-party systems, which were not initially scoped.

Scope of work document

Additional customisations and integrations with third-party systems

The consulting firm's change control process identified these requests as out-of-scope and provided impact assessments and cost estimates.

Request for additional changes

Out of scope request

After negotiations, the client agreed to pay additional fees for the requested changes, and the contract was amended accordingly.

Client

Additional Fees

Contract was amended accordingly